

24STCV33191 24STCV33191

County: los-angeles

Division: Civil Law and Motion

Department: 512

Hearing date: 2026-07-14

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Case Number: 24STCV33191 Hearing Date: July 14, 2026 Dept: 512

HEARING DATE: Tues., July 14, 2026

JUDGE /DEPT: Mkrtchyan/512

CASE NAME: Choice

Foods, Inc. v. Shoreline Foods, Inc.,

FAC FILED: 08-22-25

et al.

CASE NUMBER: 24STCV33191;

25STCV24957

NOTICE: OK

PROCEEDINGS: MOTION

TO CONSOLIDATE; MOTION TO BIFURCATE

MOVING PARTY: Defendants

Herbert Hudson and Sam White

RESP. PARTY: Plaintiff Choice Foods, Inc.

MOTION TO CONSOLIDATE; MOTION TO BIFURCATE

(CCP § 1048)

TENTATIVE RULING:

Defendants Herbert Hudson and Sam

White's Motion to Consolidate is GRANTED. Plaintiff Choice Foods, Inc's. Motion to Bifurcate is DENIED WITHOUT PREJUDICE.

Related Case Numbers 24STCV33191 (lead case) and 25STCV24957 are hereby consolidated.

ALL FUTURE DOCUMENTS MUST BE FILED UNDER THE CASE NUMBER AND CAPTION OF THE LEAD CASE (24STCV33191).

Case numbers on all subsequent filings should be reflected as follows: Lead case number C/W other case number(s).

Any future hearings in cases other than the lead case are advanced and taken off calendar.

Trial and Final Status Conference dates scheduled in 24STCV33191 and 25STCV24957 are hereby advanced to this date and VACATED.

The Court sets a Jury Trial set for March 1, 2027 at 9:30 a.m. in Department 512 of the Stanley Mosk Courthouse. Final Status Conference is scheduled for February 19, 2027 at 9:30 a.m.

Discovery and motion cut-off dates, as well all other trial related deadlines are to comport with the new trial date.

Parties must comply with the trial requirements set forth in the court's Third Amended Standing Order for Limited Civil Cases (effective February 24, 2020).

All JOINT trial documents are to be electronically filed at least ten (10) days prior to the trial date.

Parties should be prepared to submit a JOINT Trial Readiness Binder / Exhibit Binder, and to personally appear on the date of trial.

Moving parties are ordered to give

notice.

SERVICE:

☒ Proof of

Service Timely Filed (CRC, rule 3.1300) OK

☒ Correct Address

(CCP §§ 1013, 1013a) OK

☒ 16/21 Court

Days Lapsed (CCP §§ 12c, 1005(b)) OK

OPPOSITION: Filed

on June 30, 2026 ☐ Late ☐ None

REPLY: Filed

on July 7, 2026 ☐

Late ☐ None

ANALYSIS:

I.

Background

On August 22, 2025, Plaintiff filed a First Amended Complaint ("FAC") against Defendants Shoreline Foods Inc., Amusement Foods Inc., Freeway Foods, Inc., Duquesne Properties, LLC, 730 Broadway, Inc., Waffle Plaza Properties, Inc., Diego Plate Properties, LLC, Gower Properties, LLC, La Breafo, Inc., La Brea Food, Inc., Roscoe's Cool, Inc., Heirbel Management, Inc., Heirbella Drink Co, LLC, Roscoe's Intellectual Property, LLC, Herbert Hudson, and Sam White ("Defendants") and Does 1-30, alleging Breach of Contract, Open Book Account, Account Stated, Intentional Misrepresentation, Negligent Misrepresentation, Promissory Estoppel, Quantum Meruit, and Unjust Enrichment causes of action. The underlying action involves Plaintiff supplying products to Defendants for use at their Roscoe's House of Chicken n' Waffles restaurants, but Defendants owe Plaintiff "over \$1,304,850.76 for products, plus a '1.5% per month service charge' for any amount due over 30 days. The total amount due to Defendants in service charges constitutes more than an additional \$102,241.27." (FAC., p. 2.) Defendants stopped making payments to Plaintiff on

or around 2023. (FAC., pp. 2, 8.)

On April 20, 2026, the Court found the instant matter related to Case No. 25STCV24957. (4/20/26 Order.)

On June 1, 2026, Hudson and White filed the instant Motion to Consolidate Related Actions, Continue Trial, and Coordinate Case Management (the "Motion").

On June 30, 2026, Plaintiff filed an Opposition.

On July 7, 2026, Hudson and White filed a Reply.

II.

Legal
Standard

Code of Civil Procedure section 1048 states as follows:

(a) When actions involving a common question of law or fact are pending before the court, it may order a joint hearing or trial of any or all the matters in issue in the actions; it may order all the actions consolidated and it may make such orders concerning proceedings therein as may tend to avoid unnecessary costs or delay.

(b) The court, in furtherance of convenience or to avoid prejudice, or when separate trials will be conducive to expedition and economy, may order a separate trial of any cause of action, including a cause of action asserted in a cross-complaint, or of any separate issue or of any number of causes of action or issues, preserving the right of trial by jury required by the Constitution or a statute of this state or of the United States.

(Code Civ. Proc., § 1048.)

"Code of Civil Procedure section 1048 grants discretion to the trial courts to consolidate actions involving common

questions of law or fact. The trial court's decision will not be disturbed on appeal absent a clear showing of abuse of discretion." (Todd-Stenberg v. Shield (1996) 48 Cal.App.4th 976, 978-979.) In deciding whether to grant a motion to consolidate, the court should weigh whether there are common issues between the cases and "whether undue confusion or prejudice [is] likely to result from the consolidation." (Id., at p. 978.)

The purpose of consolidation " 'is merely to promote trial convenience and economy by avoiding duplication of procedure, particularly in the proof of issues common to both actions.' [Citation]." (See Estate of Baker (1982) 131 Cal.App.3d 471, 485.)

III.

Discussion

Parties' Arguments

Hudson and White move to consolidate the instant case with Case Number 25STCV24957 for all purposes on the following grounds:

Both [cases] arise from Plaintiff Choice Foods, Inc.'s alleged supplier relationship with affiliated restaurant entities operating under the Roscoe's House of Chicken N' Waffles ("Roscoe's") trade name and, during the relevant period, under coordinated operational management. In both the First Action and Second Action, Plaintiff alleges substantially identical claims based in breach of contract and fraud and arising from the same alleged course of dealings, invoices, payment history, payment communications, and alleged representations concerning outstanding balances. Plaintiff further alleges overlapping operational structures, centralized accounts payable management, and coordinated financial operations among the entities. Indeed, the complaints attach an identical supplier invoice, both sent to ECF, as evidence to support their various causes of action.

(Motion, pp. 3-4.)

In Opposition, Plaintiff states the Motion should be denied because "the cases are at different stages of preparedness and consolidation would prejudice the non-moving party by delaying trial." (Opp., pp. 0, 2-3.) Plaintiff contends that any overlapping issues can

be addressed through bifurcation at trial rather than consolidation. (Opp., pp. 0, 7-8.) Further, Plaintiff contends that the cases involved different defendants, claims, and facts, and the Motion fails to identify any “specific inconsistent ruling likely to occur absent consolidation, any concrete prejudice from separate proceedings, or any discovery that cannot be coordinated informally between the actions.” (Opp., pp. 3-4.) Plaintiff highlights that East Coast Foods from the other action has a distinct legal history compared to the defendants in the instant action; the Motion is untimely; none of the entity defendants joined the instant Motion; and Hudson and White’s claim that there is a risk of inconsistent rulings is speculative. (Opp., pp. 4-6.)

In Reply, Hudson and White emphasize that the cases here arise from the “same supplier relationship, the same Roscoe’s restaurant system, the same alleged ownership/control structure, the same alleged alter ego theory, and many of the same alleged misrepresentations and payment practice,” and “[c]onsolidation and a continuance of trial will avoid duplicative discovery, multiple juries, inconsistent determinations, and unfair prejudice from a rushed August 3 trial.” (Reply, p. 3.) Hudson and White state that the Opposition confirms there are common questions between the two cases that warrant consolidation, and the Opposition’s contentions regarding the different procedural postures of the cases supports a continuance of trial rather than a denial of consolidation. (Reply, pp. 3-5.)

California Rules of Court

California Rules of Court, rule

3.350(a)(1) provides that a notice of motion to consolidate must:

(A) List all named parties in each case, the names of those who have appeared, and the names of their respective attorneys of record;

(B) Contain the captions of all the cases sought to be consolidated, with the lowest numbered case shown first; and

(C) Be filed in each case sought to be consolidated.

(Cal. Rules of Court, rule

3.350(a)(1).)

Here, the Notice of Motion fails to comply with California Rules of Court, rule 3.350, subdivision (a)(1) – namely, the Notice of Motion does not comply with California Rules of Court, rule 3.350, subdivision (a)(1)(A)-(B).

Analysis

In the instant matter, the FAC states that Plaintiff has supplied products to Defendants Shoreline Foods Inc., Amusement Foods Inc., Freeway Foods, Inc., Duquesne Properties, LLC, 730 Broadway, Inc., Waffle Plaza Properties, Inc., Diego Plate Properties, LLC, Gower Properties, LLC, La Breafo, Inc., La Brea Food, Inc., Roscoe's Cool, Inc., Heirbel Management, Inc., Heirbella Drink Co, LLC, Roscoe's Intellectual Property, LLC, Herbert Hudson, and Sam White for use at Roscoe's House of Chicken n' Waffles restaurants. (FAC, ¶¶ 1-2, 17-18, 27-28.) Plaintiff has promptly filled Defendants' orders and delivered fresh quality products every time Defendants asked; however, in 2023, Defendants stopped making payments on outstanding invoices due to Plaintiff. (FAC, ¶¶ 1-2.)

For Case Number 25STCV24957, the Court notes that the Motion fails to attach a copy of the complaint in that case; however, a court may take judicial notice on its own motion (see Evid. Code, § 455), and the Court finds it appropriate to take judicial notice of the Complaint filed in Case Number 25STCV24957 pursuant to Evidence Code section 452, subdivision (d). As such, the Court takes judicial notice of the Complaint in Case Number 25STCV24957 without taking judicial notice of the truth of its contents. The Complaint states that Plaintiff has supplied products to Defendants East Coast Foods, Inc., Hudson, and White for use at Roscoe's House of Chicken n' Waffles restaurants. (Compl., ¶¶ 1-2, 15.) Plaintiff has promptly filled Defendants' orders and delivered fresh quality products every time Defendants asked; however, in early 2024, Defendants stopped making payments on outstanding invoices due to Plaintiff. (Compl., ¶¶ 1-2.)

Here, the two aforementioned cases have been found to be related, and the cases concern the same factual and legal issues because they all arise out of the same issues with payment for products supplied by Plaintiff for use at Roscoe's House of Chicken n' Waffles in a similar time period, for which Defendants are allegedly liable. The eight

causes of action in Case No. 25STCV24957 are all included in the 14 causes of action in the instant action, and the parties to the actions are predominantly the same – the only party from Case No. 25STCV24957 not named in the instant matter is East Coast Foods, Inc. Based on the common questions of law and fact, the Court consolidation would significantly reduce the time and expense of trying the actions separately, promote judicial economy, and not cause undue confusion or prejudice to the parties. To the extent the proximity of the trial date in Case No. 24STCV33191 is of concern to Plaintiff, the Court finds a reasonable continuance of the trial date would not be prejudicial to Plaintiff or the other parties in the actions given the significant overlap between the two cases.

Thus, the Motion is GRANTED.

Further, in ordering consolidation, the Court “may make such orders concerning proceedings therein as may tend to avoid unnecessary costs or delay.” (Code Civ. Proc., § 1048, subd. (a).)

As such, the Court finds that a trial continuance in the instant action is warranted in light of the consolidation.

Any future hearings in cases other than the lead case are advanced and taken off calendar.

Trial and Final Status Conference dates schedules in 24STCV33191 and 25STCV24957 are hereby advanced to this date and VACATED.

The Court sets a Jury Trial set for March 1, 2027 at 9:30 a.m. in Department 512 of the Stanley Mosk Courthouse. Final Status Conference is scheduled for February 19, 2027 at 9:30 a.m.

Moving parties are ordered to give notice.

PROCEEDINGS: MOTION TO BIFURCATE

MOVING PARTY: Plaintiff
Choice Foods, Inc.

RESP. PARTY: Defendant

Herbert Hudson and Sam White

Upon a properly noticed

motion of a party made no later than the close of pretrial conference, or in other cases, no later than 30 days before the trial date, a court may bifurcate a trial into separate issues when the convenience of witnesses, the ends of justice, or the economy and efficiency of handling the litigation would be promoted thereby. (Code Civ. Proc., § 598.) “The court, in furtherance of convenience or to avoid prejudice, or when separate trials will be conducive to expedition and economy, may order a separate trial of any cause of action, including a cause of action asserted in a cross-complaint, or of any separate issue or of any number of causes of action or issues, preserving the right of trial by jury required by the Constitution or a statute of this state or of the United States.” (Code Civ. Proc., § 1048, subd. (b), emphasis added.) The court has broad discretion to order a severance of trials. (See *National Electric Supply Co. v Mt. Diablo Unified School Dist.* (1960) 187 Cal.App.2d 418, 421; see also *Grappo v. Coventry Fin. Corp.* (1991) 235 Cal.App.3d 496, 504.)

The Court finds that a

Motion to Bifurcate at this juncture is premature. Between now and the continued trial date to March 1, 2027 on the consolidated matters, the pleadings of the case, named parties, and the status of the case, including the cross-complaints, may change. Thus, based on the variable circumstances, the Court is not satisfied with the evidence that bifurcation would promote judicial efficiency at this time.

Based on the foregoing, Plaintiff

Choice Foods, Inc.'s. Motion to Bifurcate is DENIED WITHOUT PREJUDICE.

Moving party is to give notice.

IV.

Conclusion

& Order

For the foregoing reasons,

Defendants Herbert Hudson and Sam White's Motion to Consolidate is GRANTED. Plaintiff Choice Foods, Inc.'s. Motion to Bifurcate is DENIED WITHOUT PREJUDICE.

Related Case Numbers 24STCV33191

(lead case) and 25STCV24957 are hereby consolidated.

ALL FUTURE DOCUMENTS MUST

BE FILED UNDER THE CASE NUMBER AND CAPTION OF THE LEAD CASE (24STCV33191).

Case numbers on all

subsequent filings should be reflected as follows: Lead case number C/W other case number(s).

Any future hearings in

cases other than the lead case are advanced and taken off calendar.

Trial and Final Status Conference

dates schedules in 24STCV33191 and 25STCV24957 are hereby advanced to this date and VACATED.

The

Court sets a Jury Trial set for March 1, 2027 at 9:30 a.m. in Department 512 of the Stanley Mosk Courthouse. Final Status Conference is scheduled for February 19, 2027 at 9:30 a.m.

Discovery and motion

cut-off dates, as well all other trial related deadlines are to comport with the new trial date.

Parties must comply with

the trial requirements set forth in the court's Third Amended Standing Order for Limited Civil Cases (effective February 24, 2020).

All JOINT trial documents

are to be electronically filed at least ten (10) days prior to the trial date.

Parties should be prepared

to submit a JOINT Trial Readiness Binder / Exhibit Binder, and to personally appear on the date of trial.

Moving parties are ordered

to give notice.

HEARING DATE: Tues., July 14, 2026

JUDGE /DEPT: Mkrtchyan/512

CASE NAME: Choice

Foods, Inc. v. Shoreline Foods, Inc.,

FAC FILED: 08-22-25

et al.

CASE NUMBER: 24STCV33191

NOTICE: OK

PROCEEDINGS: DEMURRER
TO THE FIRST AMENDED COMPLAINT

MOVING PARTY: Defendants
Herbert Hudson and Sam White

RESP. PARTY: Plaintiff Choice Foods, Inc.

DEMURRER

(CCP §§ 430.10, et seq.)

TENTATIVE RULING:

Defendants Herbert Hudson
and Sam White's Demurrer is OVERRULED.

Moving parties are ordered
to give notice.

SERVICE:

[X] Proof of
Service Timely Filed (CRC, rule 3.1300) OK

[X] Correct Address
(CCP §§ 1013, 1013a) OK

[X] 16/21 Court

Days Lapsed (CCP §§ 12c, 1005(b)) OK

OPPOSITION: Filed

on June 25, 2026 [] Late [] None

REPLY: Filed

on July 7, 2026 []

Late [] None

ANALYSIS:

I.

Background

On August 22, 2025, Plaintiff filed a First Amended Complaint ("FAC") against Defendants Shoreline Foods Inc., Amusement Foods Inc., Freeway Foods, Inc., Duquesne Properties, LLC, 730 Broadway, Inc., Waffle Plaza Properties, Inc., Diego Plate Properties, LLC, Gower Properties, LLC, La Breafo, Inc., La Brea Food, Inc., Roscoe's Cool, Inc., Heirbel Management, Inc., Heirbella Drink Co, LLC, Roscoe's Intellectual Property, LLC, Herbert Hudson, and Sam White ("Defendants") and Does 1-30, alleging Breach of Contract, Open Book Account, Account Stated, Intentional Misrepresentation, Negligent Misrepresentation, Promissory Estoppel, Quantum Meruit, and Unjust Enrichment causes of action. The underlying action involves Plaintiff supplying products to Defendants for use at their Roscoe's House of Chicken n' Waffles restaurants, but Defendants owe Plaintiff "over \$1,304,850.76 for products, plus a '1.5% per month service charge' for any amount due over 30 days. The total amount due to Defendants in service charges constitutes more than an additional \$102,241.27." (FAC, p. 2.) Defendants stopped making payments to Plaintiff on or around 2023. (FAC, pp. 2, 8.)

On April 20, 2026, the Court found the instant matter related to Case No. 25STCV24957. (4/20/26 Order.)

On May 7, 2026, Hudson and White filed the instant Demurrer to the FAC (the "Demurrer").

On June 25, 2026, Plaintiff filed an

Opposition and request for judicial notice.

On June 30, 2026, the Court continued the hearing on the Demurrer.

On July 7, 2026, Hudson and White filed a Reply regarding the Demurrer.

II.

Request
for Judicial Notice

In conjunction with the Opposition, Plaintiff requests the Court take judicial notice of the 6/18/26 Minute Order issued in Case No. 25STCV24957. (Opp., RJN, p. 2, Exh. A.)

The Court GRANTS the request pursuant to Evidence Code section 452, subdivision (d).

III.

Allegations
in the FAC

In the FAC, Plaintiff states the following:

Plaintiff has supplied products to Defendants for use at Roscoe's House of Chicken n' Waffles restaurants. (FAC, ¶¶ 1-2, 17-18, 27-28.) Plaintiff has promptly filled Defendants' orders and delivered fresh quality products every time Defendants asked; however, in 2023, Defendants stopped making payments on outstanding invoices due to Plaintiff. (FAC, ¶¶ 1-2.)

Defendants owe Plaintiff over \$1,304,850.76 for products supplied to Defendants plus a 1.5 percent per month service charge for any amount due over 30 days. (FAC, ¶¶ 2, 27.) Defendants have falsely promised to pay Plaintiff the payments due and owing, and Plaintiff has not received the outstanding payments from Defendants despite Plaintiff's multiple demands. (FAC, ¶¶ 1-2, 30-37.) Defendants' false representations were made orally, in writing, and by text message, and included direct assurances of

imminent payment and financial reliability. (FAC, ¶¶ 30-37.) Defendants also issued checks to Plaintiff on multiple occasions “despite knowing there were insufficient funds in the account to cover those checks.” (FAC, ¶ 33.)

Hudson

is Company Defendants’ Chief Executive Officer, Chief Financial Officer, and Secretary; White is Shoreline Foods, Amusement Foods, Freeway Foods, and La Breafo’s Chief Financial Officer. (FAC, ¶¶ 17-18.)

There exists a unity of interest and ownership between the Corporate Defendants and HUDSON such that adherence to the fiction of a separate corporate existence would sanction fraud, promote injustice, and prevent Choice Foods from recovering amounts lawfully owed to it. On information and belief, all Company Defendants are solely owned, controlled, dominated, and managed by HUDSON. Choice Foods is further informed and believes, and based upon such information and belief alleges, that Company Defendants are merely a shell, instrumentality, conduit, and alter ego of HUDSON through which HUDSON carried out his own activities, so any presumed legal separateness between Company Defendants and HUDSON should be disregarded. Choice Foods is also informed and believes, and based upon such information and belief alleges, that funds are routinely transferred between and amongst Defendants without clear documentation, justification, or adherence to corporate formalities. There is such a unity of interest between each of the Company Defendants, on the one hand, and HUDSON, on the other hand, that they have no separate existence apart from one another.

...

Choice Foods is informed and believes, and thereon alleges, that Defendants are alter egos of one another, as they have commingled funds, failed to observe corporate formalities, undercapitalized the Company Defendants, and used the Company Defendants to perpetrate fraud or injustice. Choice Foods alleges that there exists a unity of interest and ownership between Defendants such that adherence to the Company Defendants’ corporate fiction of separateness would result in an inequitable outcome. Choice Foods is also informed and believes, and based upon such information and belief alleges, that funds are routinely transferred without clear documentation, justification, or adherence to corporate formalities between and amongst Defendants and to the Individual Defendants. Accordingly, all Defendants are liable for the breach of contract as the alter egos of Freeway Foods, Inc.

(FAC, ¶¶ 20, 44.)

The FAC alleges Breach of Contract, Open Book Account, Account Stated, Intentional Misrepresentation, Negligent Misrepresentation, Promissory Estoppel, Quantum Meruit, and Unjust Enrichment causes of action. (FAC, pp. 1-26.)

IV.

Legal

Standard

“As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or facts alleged.” (*E-Fab, Inc. v. Accountants, Inc. Servs.* (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint’s properly pleaded or implied factual allegations. (*Ibid.*) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.)

A general demurrer may be brought under Code of Civil Procedure section 430.10, subdivision (e) if insufficient facts are stated to support the cause of action asserted or under section 430.10, subdivision (a), where the court has no jurisdiction of the subject of the cause of action alleged in the pleading. All other grounds listed in Section 430.10, including uncertainty under subdivision (f), are special demurrers.

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Id.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (*Youngman v. Nevada Irrigation Dist.* (1969) 70 Cal.2d 240, 245).

V.

Discussion

A. Meet and Confer

Code of Civil Procedure

section 430.41 requires that “[b]efore filing a demurrer pursuant to this chapter, the demurring party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (Code Civ. Proc., § 430.41, subd. (a).) The parties are to meet and confer at least five days before the date the responsive pleading is due. (Code Civ. Proc., § 430.41, subd. (a)(2).) Thereafter, the demurring party shall file and serve a declaration detailing their meet and confer efforts. (Code Civ. Proc., § 430.41, subd. (a)(3).)

Here, the Demurrer is accompanied by a meet and confer declaration that states the parties’ counsel met and conferred telephonically regarding the issues raised in the Demurrer. (Demurrer, Carson Decl., ¶¶ 3-4.) The parties were unable to reach an agreement regarding the FAC. (Demurrer, Carson Decl., ¶ 5.)

Thus, the Court finds the meet and confer requirement is satisfied.

B. Demurrer

Hudson and White demur to all causes

of action in the Complaint on the following grounds: (1) the FAC’s alter ego allegations regarding Hudson and White are insufficiently pled, and thus the Breach of Contract causes of action fail and (2) the Complaint’s allegations are insufficiently pled to satisfy the heightened pleading requirements for fraud and thus the Intentional Misrepresentation, Negligent Misrepresentation, Promissory Estoppel, and Quantum Meruit claims fail. (Demurrer, pp. 2-5.) Hudson and White request that any leave to amend the FAC be denied. (Demurrer, p. 6.)

In

Opposition, Plaintiff contends the FAC specifically and adequately alleges alter ego theory of Shoreline Foods, Amusement Foods, and Freeway Foods and Hudson and White as well as allegations of fraud and points to specific assertions in the FAC to demonstrate the FAC states sufficient facts to support each stated cause of action. (Opp., pp. 1-18.) Further, Plaintiff requests leave to amend should the Court find any of the causes of action are deficiently pled in the FAC. (Opp., p. 18.)

In

Reply, Hudson and White reiterate the FAC fails to plead adequate alter ego liability and the fraud causes of action. (Reply, pp. 1-4.) Hudson and White assert that the FAC's fraud allegations rely on alleged statements by White, not Hudson, and therefore fraud is not pled with particularity as to Hudson in the FAC. (Reply, p. 3.) Further, Hudson and White contend the FAC's alter ego allegations do not substitute for specific allegations regarding fraud as to Hudson. (Reply, pp. 3-4.) As to the equitable claims, Hudson and White state the Opposition mischaracterizes the Demurrer, and the Demurrer's challenge to these claims is as follows: "to the extent those claims are based on the same alleged fraudulent promises and representations, the FAC still must plead a nonconclusory factual basis for imposing personal liability on Hudson and White." (Reply, p. 4.)

Alter Ego Allegations

The Court finds the Complaint

satisfactorily states specific facts to allege alter ego liability for Hudson and White as to all causes of action asserted against them. (See FAC; Leek v. Cooper (2011) 194 Cal.App.4th 399, 415.) For instance, the FAC states: "Defendants are alter egos of one another, as they have commingled funds, failed to observe corporate formalities, undercapitalized the Company Defendants, and used the Company Defendants to perpetrate fraud or injustice. Choice Foods alleges that there exists a unity of interest and ownership between Defendants such that adherence to the Company Defendants' corporate fiction of separateness would result in an inequitable outcome. Choice Foods is also informed and believes, and based upon such information and belief alleges, that funds are routinely transferred without clear documentation, justification, or adherence to corporate formalities between and amongst Defendants and to the Individual Defendants. Accordingly, all Defendants are liable for the breach of contract as the alter egos of Freeway Foods, Inc." (FAC, ¶ 44.) Thus, the Court finds the Complaint adequately

alleges sufficient facts to show a unity of interest and ownership between Hudson and White and the corporate defendants and an unjust result if the corporate defendants are treated as the sole actors. (Leek, supra, 194 Cal.App.4th at p. 415.)

Based on the foregoing, Hudson and White's Demurrer on the grounds that Plaintiff failed to sufficiently allege alter ego allegations against them is **OVERRRULED**.

Causes
of Action 1-14

The Court finds the Demurrer's challenges to a majority of the FAC's causes of action were based solely on the alter ego theory addressed above and thus are meritless. The Demurrer also challenges the sufficiency of the FAC's allegations for the "fraud claims" against Hudson and White separate and apart from the alter ego liability challenge.

Here, the Court finds the tenth and eleventh causes of action for intentional misrepresentation and negligent misrepresentation claims are specifically and sufficiently pled as to Hudson and White. Indeed, the FAC states the misrepresentations made by Hudson and White were made in writing, orally, and by text message and were that they would pay outstanding invoices issued by Plaintiff; the FAC includes specific verbatim and/or chronological examples of these misrepresentations made by both Hudson and White, including the dates the misrepresentations were made; the FAC alleges Hudson and White knew they had insufficient funds in their accounts to make the outstanding payments and thus intended to induce Plaintiff's reliance without reasonable ground for believing they could make the outstanding payments; and Plaintiff was damaged as a result of Hudson and White's misrepresentations. (FAC., ¶¶ 83-105; Charnay v. Cobert (2006) 145 Cal.App.4th 170, 184, citing Lazar v. Superior Court (1996) 12 Cal.4th 631, 638 [providing the elements of intentional misrepresentation]; Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184, citing Lazar, supra, 12 Cal.4th at p. 645; Hydro-Mill Co., Inc. v. Hayward, Tilton & Rolapp Ins. Associates, Inc. (2004) 115 Cal.App.4th 1145, 1154 [providing the elements of a cause of action for negligent misrepresentation]; Friedman v. Merck & Co. (2003) 107 Cal.App.4th 454, 481 ["the 'ordinary rule' is

that liability for negligent misrepresentation is imposed only on those who supply information for ‘ “business purposes in the course of a business or profession’ ”].)

Given the clarifications stated in the Reply, the Court finds it need not address the twelfth, thirteenth, and fourteenth causes of action separately from the aforementioned analysis.

For all these reasons, the Demurrer is
OVERRULED.

IV.

Conclusion

& Order

For the foregoing reasons,
Defendants Herbert Hudson and Sam White’s Demurrer is OVERRULED.

Moving parties are ordered
to give notice.